supply of 10,000 and corresponds to an ETH pool of 100 ETH held in a smart contract. The smart contract stipulates that for every unit of TKN it receives, it will return a pro rata amount of ETH, fixing the exchange ratio at 100 TKN/1 ETH. We can extend the example so that the pool has a variable amount of ETH. Suppose the ETH in the pool increases at 5 percent per year by some other mechanism. Now, 100 TKN would represent 1 ETH plus a 5 percent perpetuity cash flow of ETH. The market can use this information to accurately price the value of TKN.

In actual equity tokens, the pools of assets can contain much more complex mechanics, going beyond a static pool or fixed rates of increase. The possibilities are limited only by what can be encoded into a smart contract. Chapter 6 examines a contract with variable interest-rate mechanics (Compound tokens) and a contract that owns a multi-asset pool with a complex fee structure (Uniswap) and also explains Set Protocol, which defines a standard interface for creating equity tokens with static or dynamic holdings.

Utility Tokens

Utility tokens are in many ways a catchall bucket, although they do have a clear definition: fungible tokens required to use some functionality of a smart contract system or with an intrinsic value proposition defined by their respective smart contract system. In many cases, utility tokens drive the economics of a system, creating scarcity or incentives where